

KARNATAKA

BRINGING LIFE BACK TO BELLARY

By Ajay Sukumaran

awaiting Karnataka's mining-ravaged districts of Bellary, Chitradurga and Tumkur. There's now a sum of Rs 20,000 crore that has accrued to the Karnataka Mining Environment Restoration Corporation (KMERC), a special purpose vehicle (SPV) tasked with a sort of renewal mission in these districts. This April, the apex court gave in-principle approval to a Rs 25,000 crore KMERC blueprint and appointed Justice B. Sudarshan Reddy, a retired Supreme Court judge, as the oversight authority to monitor its progress.

CEPMIZ, or the Comprehensive Environment Plan for Mining Impact Zone, is a 10-year restoration project. Besides restoring damaged forests, CEPMIZ will set up a Rs 5,272 crore railway backbone component for mining areas and build infrastructure such as roads, bypasses, drinking water and irrigation projects. Its social sector projects involve schools, hospitals, housing, tourism and more. "The main objective of CEPMIZ is to restore the damaged environment in these three districts," says Prabhash Chandra Ray, MD of KMERC. Ray expects the short-term projects to start within three months, depending on approvals. District authorities will identify projects to be funded by KMERC and, once approved by the oversight authority, detailed project reports will be prepared, he says.

Karnataka accounts for about 17 per cent of India's iron ore production, and is the third largest contributor in the sector after Odisha and Chhattisgarh. Karnataka's approved annual production capacity, as on March 31, was 45 million MT. The state government has now implemented a digital Integrated Lease Management System (ILMS) to electronically regulate and monitor iron ore production, processing, transport, sale and collection of royalty.

The Supreme Court's May 20 order essentially allows iron ore mining companies in Bellary and the two other districts to sell their stock through direct contracts and also export ore and pellets. Observing that "the time has come to review the system that was put in place over a decade ago", the court said that the e-auction arrangement had "worked out satisfactorily so far".

Both the ministries for steel and mines had observed that it was necessary to create a level playing field for mines situated in Bellary, Chitradurga and Tumkur with others in the rest of the country. "Direct sales will give a better price and a wider market. Earlier, it was restricted to buyers in and around Karnataka. Now you can sell to anyone," says Basant Poddar, former chairman of the southern chapter of the Federation of Indian Mineral Industries (FIMI).

Many of the mining leases in the A and B category have expired over time, points out Poddar, adding that auctions for new leases aren't happening fast enough. About 24 blocks have been auctioned in Karnataka in the past seven years since the central government brought in a new auction policy.

Meanwhile, the SC has asked the Oversight Authority for its opinion on lifting the ceiling limit for production of iron ore in these three districts. A hearing in the matter is posted for July. ■

RED RUST
Iron ore mine run by NMDC in the Kumaraswamy hills, Bellary

THE STORY SO FAR...

The late 2000s saw the peak of an iron-ore mining boom that rode on huge demand for steel in China. In Karnataka, this saw reckless exploitation of mineral-rich Bellary that reached a climax in 2011. A Lokayukta probe that year exposed the magnitude of the illegal mining (an estimated 29 million MT illicit ore worth Rs 12,000 crore exported), leading to a political shake-up in Karnataka's then ruling BJP government. Even today, mining magnate and former state minister G. Janardhana Reddy, part of the infamous 'Bellary brothers' who were accused of running a mafia-like network, cannot enter the district without court permission. The SC ban came days after the Lokayukta report and stayed till September 2012. In between, the mines were categorised, restoration plans drawn up and e-auctions put in place. In 2012, the first mines reopened, a few more the next year. In time, the cancelled leases were also reauctioned. Now exports are to resume.